MO1 Strategy Rulebook

Two intraday option strategies on the NIFTY 200 desk. Both trade levels where a Fibonacci pivot and the option chain agree, both enter on a pullback to the 21 EMA, and both buy premium. This is the rule each engine executes, clause by clause.

STRATEGY 1	`breakout-retrace-21ema v5 LONG`	ENTRIES	`09:15 – 13:00 IST`
STRATEGY 2	`breakdown-retrace-21ema v3 SHORT`	FLAT BY	`15:15 IST`
RISK	`₹550 per trade, 1 lot`	MAX OPEN	`3, across both strategies`
ISSUED	`13 October 2026`	EXECUTION	`Paper fills only — no orders placed`

STATUS v5 and v3 are not live yet. The engine last ran v4 and v2. The 13:00 cutoff takes effect at the next server start, which is also when both definitions mirror to the `strategies` collection.

1 Finding a trade

Everything up to the moment of entry is common to both strategies.

1.1 The levels

Each evening the desk derives Fibonacci pivots (R3–R1, P, S1–S3) from the settled session's range and cross-references them against the option chain. A pivot is *confirmed* when a strike sits close to it and that strike's open interest is lopsided: call-heavy marks a resistance, put-heavy marks a support. Those confirmed levels are the only prices either strategy watches. Two of them are singled out as **major**.

Major resistance	Among confirmed resistances whose call/put OI skew is ≥ `4×`, the one with the **least gap** between pivot and strike.
Major support	Among confirmed supports whose put/call OI skew is ≥ `5×`, the one with the **least gap**.

Least gap, not biggest skew. The gap measures how closely two independent methods agree on the same price; the skew is only the gate they have to clear.

1.2 The 21 EMA

21-period exponential moving average on **5-minute** candles. Bars are built from the live tick feed and the average is seeded each morning from historical candles, so it is current from the first trade of the day rather than warming up over the first two hours.

1.3 The retracement, and the turn

Both strategies split the pullback into two separate events. Reaching the EMA arms the setup; turning back off it takes the trade.

Zone	Price must come within `0.4%` of the 21 EMA. Measured either side, so a wick through the line counts the same as a pullback that stops on it.
Turn	Price must then move `0.2%` back off the extreme of that pullback — its low for a long, its high for a short.

Extreme tracking	If the pullback keeps going, the extreme follows it and the trigger moves with it. The entry always sits 0.2% from where the pullback actually ended.
Real pullback	Price must have travelled at least 0.2% from its post-break extreme. Without this, a stalled move lets the EMA drift into a flat price and the zone test passes with no retracement having happened.
Invalidation	A 5-minute bar closing more than 0.4% the wrong side of the EMA ends the setup. A fresh break is then required.

2 Strategy 1 — Level Break → 21 EMA Retrace LONG

`breakout-retrace-21ema`, version 5. Two independent entry legs; either can fire. One trade per symbol per day.

2.1 Setup A — Break & retrace

1. **Below.** Price is under the major resistance. Seeded from the previous close, so an opening gap through the level counts as the break.
2. **Break.** Price crosses above it.
3. **Retrace.** Price pulls back into the 0.4% EMA zone, having fallen at least 0.2% from its post-break high.
4. **Turn.** Price rises 0.2% off the low of that pullback, and is above the EMA. **Buy the ATM call.**

WORKED EXAMPLE

```
21 EMA 1200.00  ·  major resistance 1210.00
1215.00  breaks the level
1220.00  post-break high
1204.50  reaches the zone — 0.375% above the EMA
1206.00  only 0.12% off the low — no entry
1206.91  BUY ATM CE
```

2.2 Setup B — Support hold & level cross

1. **Holding.** Price is above the major support.
2. **Cross.** Price crosses up through a *different* confirmed level — any other marked pivot, support or resistance.
3. **Above the EMA.** Price is above the 21 EMA at that moment. **Buy the ATM call.**

No retracement leg: setup B enters on the cross itself. The major support cannot confirm itself, since price wobbling around its own support is not a break of another level. The support test is read at the moment of the cross, so a dip below and a reclaim still qualifies.

> AS ORIGINALLY SPECIFIED
>
> *Price is below the major Resistance point (point with least gap and the skew should be above 4x) and crosses it, then when prices Retraces back to near 21 EMA then plan a LONG trade.*
>
> *OR — Price is above major Support (point with less gap and skew above 5x) and crosses another support or the resistance point (that we have marked as important from the OI and pivots) and also crossed 21 EMA, make entry.*

3 Strategy 2 — Support Break → 21 EMA Retrace SHORT

`breakdown-retrace-21ema`, version 3. The mirror of setup A, taken on the major support.

3.1 Setup C — Breakdown & retrace

1. **Above**. Price is over the major support, seeded from the previous close.
2. **Break**. Price crosses below it.
3. **Retrace**. Price rallies back into the 0.4% EMA zone, having risen at least 0.2% from its post-break low.
4. **Turn**. Price falls 0.2% off the high of that rally, and is below the EMA. **Buy the ATM put.**

WORKED EXAMPLE

```
21 EMA 1200.00  ·  major support 1190.00
1185.00  breaks the level
1180.00  post-break low
1195.50  reaches the zone — 0.375% below the EMA
1194.00  only 0.13% off the high — no entry
1193.10  BUY ATM PE
```

IMPORTANT Short means short the stock, not short the option. The position is a **bought** at-the-money put — a debit, with the maximum loss capped at the premium paid. Nothing on this desk ever writes or sells an option to open, because the fixed rupee risk model only holds when the worst case is the premium.

> AS ORIGINALLY SPECIFIED
> *If price breaks major support with highest priority point and when it retraces back to 21 EMA till 0.4% after crossing support we will make short entry.*

4 Sizing, stop and exit

Identical for both strategies. Every position is long premium, so the arithmetic never changes sign.

4.1 The position

Instrument	ATM option, nearest expiry. Call for a long, put for a short. Always bought.
Size	1 lot.
Risk	`₹550` per trade.
Stop	Entry premium minus `₹550 ÷ lot size` per unit.
Entries	09:15 until `13:00` IST. Exclusive — stopped *by* 13:00.
Open positions	Maximum 3, counted across *both* strategies.
Frequency	1 trade per symbol per day; 15 per strategy per day.

4.2 The trailing ladder

The stop does not move at 1:2. Its first move is at 1:3, straight to +₹550, which leaves a ₹1,100 gap. From 1:4 onward it follows one checkpoint behind and the gap settles at ₹550. There is no profit target: once trailing begins the trade can only be closed by its stop.

PROFIT REACHED	MULTIPLE	STOP MOVES TO	LOCKED IN	GAP TO STOP
+₹1,100	1:2	stays at –₹550	–	₹1,650
+₹1,650	1:3	+₹550	₹550	₹1,100
+₹2,200	1:4	+₹1,650	₹1,650	₹550
+₹2,750	1:5	+₹2,200	₹2,200	₹550
+₹3,300	1:6	+₹2,750	₹2,750	₹550

4.3 How a trade ends

Stop	Premium falls to the stop before trailing has begun. Loss of about ₹550.
Trailing stop	Premium falls to a stop that has already moved into profit.
Flatten	15:15 IST. Not a strategy rule but a backstop, because a bought option left to the close is marked to settlement.

CAUTION ₹550 is the stop, not a hard cap. It is checked against a quote every two seconds, so a premium that gaps straight through it is sold wherever the book is. Three sessions in September produced losses of ₹2,725 and ₹6,418 against that ₹550 plan. The book gate in section 5 exists because of them.

5 The book gate

Added in v4 and v2. A signal is not a trade until the contract is worth touching. Checked on the live quote, just before sizing.

Across the first three sessions, 9 of 36 trades died within ten seconds of entry and between them accounted for the entire net loss — the other 27 netted positive. Every one had been filled at an ask far above where the contract was actually trading. One strike carried 125 contracts of open interest against 11,625 at the fattest strike in its chain. There was no book, and the top-of-book ask was a price nobody would ever have traded at.

CHECK	REJECTS WHEN	WHY
Two-sided book	Bid or ask missing	A missing side is an absent book, not a wide one.
Ask above market	Ask > 2% over a fresh print	The check that catches all nine. Applied only when the last trade is under 120s old.
Spread	> 2% of mid	Backstop for when the last print is stale.
Spread vs stop	> 30% of the stop distance	The economic test. The spread is paid twice out of a fixed ₹550.
Volume	Nothing traded today	No trades, no book.
Dead strike	OI < 3% of the chain's heaviest	A floor against dead strikes, not a quality filter.

The spread-versus-stop test does work the others cannot. A 0.75% spread looks tight, but on a 1,350-unit lot that is ₹202 against a stop distance of ₹0.41 per unit — 37% of the budget gone on the round trip, so it is rejected. The same 0.75% on a 75-unit lot passes.

A signal turned away here is spent for the day. Re-arming would retry the same broken book on every tick and spend a quote call each time.

6 Version history

A released version is immutable. Every trade stores the id and version it ran under, so results stay comparable after a rule changes.

6.1 Strategy 1 — breakout-retrace-21ema LONG

VER	WHAT CHANGED	ENTRIES	FLAT	MAX OPEN
v1	Original rule. Entry on touching the 21 EMA; stop trails from 1:2.	11:30	15:20	5
v2	Retracement must reach within 0.4% of the EMA, and entry waits for a 0.2% rebound off the low rather than firing on the touch.	11:30	15:20	5
v3	Window extended to 15:15. Desk-wide cap of 3. Trailing reworked: no move at 1:2, first move at 1:3 to +₹550, then one step behind.	15:15	15:15	3
v4	Book gate added.	15:15	15:15	3
v5	Entries end at 13:00. Open trades run on under the ordinary rules; 15:15 becomes a backstop only.	13:00	15:15	3

6.2 Strategy 2 — breakdown-retrace-21ema SHORT

VER	WHAT CHANGED	ENTRIES	FLAT	MAX OPEN
v1	The short rule as first built, mirroring the long's zone-and-turn entry.	15:15	15:15	3
v2	Book gate added.	15:15	15:15	3
v3	Entries end at 13:00. Open trades run on; 15:15 becomes a backstop only.	13:00	15:15	3

7 What each version produced

111 paper trades across 18 sessions, 15 September to 13 October 2026.

VERSION	SIDE	TRADES	NET ₹	BOOK GATE
breakout@1	LONG	8	−3,727	no
breakout@3	LONG	27	−15,214	no
breakout@4	LONG	51	+9,626	yes
breakdown@1	SHORT	1	−1,125	no
breakdown@2	SHORT	24	+5,471	yes

Both strategies are positive under the gated versions and negative under every version before them: **+₹15,097 over 75 gated trades** against −₹20,066 over the 36 ungated ones.

Treat that as a direction, not a result. 75 trades is a small sample, it spans one market regime, and these are simulated fills — the entry crosses the spread to the ask and the exit sells into the bid, which is deliberately pessimistic but still not

the same as being filled. No trades have run under v5 or v3 yet.

This desk places no orders. Every figure here comes from paper fills priced off live quotes.

Rules are defined in `app/src/lib/strategy/registry.ts`; entry logic in `signals.ts`, sizing and the ladder in `position.ts`, the book gate in `tradeable.ts`.

MO1 Strategy Rulebook · issued 13 October 2026 · long v5 · short v3